

PROSPECTUS
FOR
GATEHOUSE DOCK CONDOMINIUM

1. THIS PROSPECTUS CONTAINS IMPORTANT MATTERS TO BE CONSIDERED IN ACQUIRING A CONDOMINIUM DOCK.

2. THE STATEMENTS CONTAINED HEREIN ARE ONLY SUMMARY IN NATURE. A PROSPECTIVE PURCHASER SHOULD REFER TO ALL REFERENCES, ALL EXHIBITS HERETO, THE CONTRACT DOCUMENTS, AND SALES MATERIALS.

3. ORAL REPRESENTATIONS CANNOT BE RELIED UPON AS CORRECTLY STATING THE REPRESENTATIONS OF THE DEVELOPER. REFER TO THIS PROSPECTUS AND ITS EXHIBITS FOR CORRECT REPRESENTATIONS.

SUMMARY

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ACQUIRING A CONDOMINIUM DOCK

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4. FEE SIMPLE INTERESTS WILL BE CONVEYED TO ALL PURCHASERS.

5. THERE IS A CLUB MEMBERSHIP ASSOCIATED WITH THIS CONDOMINIUM. MEMBERSHIP IN OCEAN REEF CLUB, AN UNINCORPORATED ASSOCIATION, AND IN OCEAN REEF IMPROVEMENT ASSOCIATION, INC., IS MANDATORY FOR DOCK OWNERS.

6. THE DEVELOPER HAS THE RIGHT TO RETAIN CONTROL OF THE CONDOMINIUM ASSOCIATION AFTER A MAJORITY OF THE DOCKS HAVE BEEN SOLD. This right to control is described in detail in the Articles of Incorporation of Gatehouse Dock Condominium Association, Inc., Article VII, annexed hereto as Exhibit ID.

7. THE SALE, LEASE OR TRANSFER OF YOUR DOCK IS RESTRICTED OR CONTROLLED.

8. THERE IS A LIEN OR LIEN RIGHT AGAINST EACH DOCK TO SECURE THE PAYMENT OF ASSESSMENTS OR OTHER EXACTIONS COMING DUE FOR THE USE, MAINTENANCE, UPKEEP OR REPAIR OF THE RECREATIONAL OR COMMONLY USED FACILITIES. THE DOCK OWNER'S FAILURE TO MAKE THESE PAYMENTS MAY RESULT IN FORECLOSURE OF THE LIEN.

9. THERE IS TO BE A CONTRACT FOR MANAGEMENT OF THE CONDOMINIUM PROPERTY WITH THE OCEAN REEF CLUB, INC. A copy of the Renewable Management Contract is annexed hereto as Exhibit III.

10. THERE IS NO RECREATION OR LAND LEASE OBLIGATION CONNECTED WITH THE PURCHASE OF A DOCK.

11. THE STATEMENTS SET FORTH ABOVE ARE ONLY SUMMARY IN NATURE. A PROSPECTIVE PURCHASER SHOULD REFER TO ALL REFERENCES AS WELL AS THE ENTIRE SET OF DISCLOSURE MATERIALS AND HIS CONTRACT OR PURCHASE AGREEMENT. ALL DISCLOSURE MATERIALS, CONTRACT DOCUMENTS AND BROCHURE MATERIALS ARE IMPORTANT LEGAL DOCUMENTS AND IF NOT UNDERSTOOD, PROSPECTIVE PURCHASER SHOULD SEEK LEGAL ADVICE.

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PROSPECTUS TEXT

1. Gatehouse Dock Condominium, located at Ocean Reef Club, Key Largo, Florida (hereinafter referred to as "the Condominium") shall be a boat dock condominium regime composed of twenty-eight (28) units. Each unit will consist of one boat dock located along Dispatch Creek at the Ocean Reef Club Marina, Key Largo, Florida.

2. Copies of the survey and graphic description of each dock are annexed hereto as Exhibit B of Exhibit I.

3. The boat docks are already constructed.

4. The maximum number of docks that will use facilities in common with the Condominium is twenty-eight (28).

5. FEE SIMPLE INTEREST WILL BE CONVEYED TO ALL PURCHASERS.

6. THERE IS A CLUB MEMBERSHIP ASSOCIATED WITH THIS CONDOMINIUM. MEMBERSHIP IN OCEAN REEF CLUB, AN UNINCORPORATED ASSOCIATION, AND IN OCEAN REEF IMPROVEMENT ASSOCIATION, INC., IS MANDATORY FOR DOCK OWNERS. The Condominium docks offered for sale pursuant to this prospectus are part of an overall development of Ocean Reef Complex. In order that all property in this Complex shall at all times be occupied by a colony of congenial persons and for other purposes of benefiting and improving the lands in the Complex, Ocean Reef Club and Ocean Reef Improvement Association, Inc. have been formed. In order to be eligible to purchase a Condominium dock offered for sale pursuant to this Prospectus and throughout the balance of the Complex, each prospective purchaser must apply for and be approved for membership in the Ocean Reef Club and in Ocean Reef Improvement Association, Inc. Subsequent to acquiring title, member Owners must maintain themselves in good standing. (See Declaration of Condominium with attachments, annexed hereto as Exhibit I, and the Declaration of Restrictions, Limitations, Conditions and Agreements, annexed hereto as Exhibit II, for further details concerning the nature of the development of the Complex. See Estimated Financial Sheet, annexed hereto as Exhibit VII, for estimated assessments in connection with Ocean Reef Improvement Association.)

7. Ocean Reef Club, Inc., a corporation for profit, owns the following amenities in the Complex:

- (a) 101-room lodge with restaurant and bar facilities;
- (b) two 18-hole golf courses;
- (c) man-made lagoon and white sand beach;
- (d) swimming pool;
- (e) thirteen (13) tennis courts;
- (f) airport with lighted air strip (4,000 feet).

8. THERE IS A LIEN OR LIEN RIGHT AGAINST EACH DOCK TO SECURE THE PAYMENT OF ASSESSMENTS OR OTHER EXACTIONS COMING DUE FOR THE USE, MAINTENANCE, UPKEEP OR REPAIR OF THE COMMONLY USED FACILITIES. THE DOCK OWNER'S FAILURE TO MAKE THESE PAYMENTS MAY RESULT IN FORECLOSURE OF THE LIEN. THE LIEN OR LIEN RIGHT IS DESCRIBED IN DETAIL IN THE DECLARATION OF RESTRICTIONS, LIMITATIONS, CONDITIONS AND AGREEMENTS.

9. Management of the Condominium shall be by Gatehouse Dock Condominium Association, Inc. (hereinafter referred to as "the Association"), a non-profit Florida corporation. (See the Declaration of Condominium annexed hereto as Exhibit I, and the Articles of Incorporation and the By-laws attached thereto as Exhibit IE and IF, respectively.)

10. THERE IS TO BE A CONTRACT FOR THE MANAGEMENT OF THE CONDOMINIUM PROPERTY BETWEEN THE ASSOCIATION AND OCEAN REEF CLUB, INC., AS MANAGING AGENT. A copy of the Renewable Management Contract is annexed hereto as Exhibit III. The names of the contracting parties are Gatehouse Dock Condominium Association, Inc. and Ocean Reef Club, Inc. The term of the contract is for one year, with automatic renewals unless terminated by a vote of all the members

of the Condominium Association. The services to be performed come within the following areas: administration; financial planning; bookkeeping; reporting; collection; maintenance supervision and insurance. The management fee on an annual basis is estimated to be \$11,424.00 per year, or \$408.00 per dock per year.

11. THE DEVELOPER HAS THE RIGHT TO RETAIN CONTROL OF THE ASSOCIATION AFTER A MAJORITY OF THE DOCKS HAVE BEEN SOLD. This right to control is described in the Articles of Incorporation of the Association, annexed hereto as Exhibit D of Exhibit I.

12. THE SALE, LEASE OR TRANSFER OF DOCKS IS RESTRICTED OR CONTROLLED. Such restrictions are described in detail in the Declaration of Condominium, Article IV, annexed hereto as Exhibit I.

13. The Declaration of Restrictions, Limitations, Conditions and Agreements relative to the use of the Condominium property has been recorded in the Public Records of Monroe County, Florida, in O. R. Book 972, Page 768, and is attached hereto as Exhibit II. Further restrictions are set forth in the Rules and Regulations attached as a Schedule to the By-Laws of the Association, annexed hereto as Exhibit E of Exhibit I.

14. All utilities and other services including electricity, waste disposal and water supply have been installed and the Condominium Association is responsible for and will be charged for these services. Electrical service is provided by the Florida Keys Electrical Co-operative..

15. The common expenses and common elements shall be apportioned among the docks as provided in the schedule annexed hereto as Exhibit C of Exhibit I.

16. An estimated operating budget for the Condominium and the Association and a schedule of the dock Owner's expenses are annexed hereto as Exhibit F of Exhibit I.

17. A schedule of estimated closing expenses to be paid by a purchaser of a dock is annexed hereto as Exhibit VI.

18. Title insurance is available at the purchaser's expense.

19. Developer's program does not include a program of leasing docks rather than selling them or leasing them and selling them subject to such leases.

20. The Successor Developer of the Gatehouse Dock Condominium is Gatehouse Development Corp., a Florida corporation. The chief executive officer of the Successor Developer is John Alan Sfire. Mr. Sfire is a real estate developer with projects in Florida and Illinois.